

BASICS OF MARKETING

☒ **UNIT 1 – INTRODUCTION AND FUNCTIONS OF MARKETING**

1 **Meaning of Marketing**

☒ **Definition**

Marketing is the process of identifying customer needs and satisfying them profitably.

👉 Simple meaning:

Marketing = Finding what customers want + Giving it to them + Earning profit.

Basic Marketing Flow Diagram

Need → Product → Exchange → Satisfaction → Profit

Example:

You feel hungry → You buy pizza → You pay money → You eat → Satisfaction

That whole process = Marketing

Famous Definitions (Write any one in exam)

1. **Philip Kotler:**
“Marketing is a social and managerial process by which individuals obtain what they need and want through creating and exchanging products.”
 2. **AMA Definition:**
Marketing is creating, communicating and delivering value to customers.
-

2 Objectives of Marketing

 Main Aim: Customer Satisfaction + Profit

Other Objectives:

1. Increase Sales
 2. Increase Market Share
 3. Brand Awareness
 4. Customer Retention
 5. Long-term Relationship
-

3 Importance of Marketing

Why marketing is important?

1. Connects producer and consumer
 2. Increases standard of living
 3. Generates employment
 4. Supports economic development
 5. Creates time, place and possession utility
-

4 Functions of Marketing

Marketing functions are divided into 3 types:

A) On the Basis of Exchange Functions

These functions help in exchange of goods.

1. Buying
2. Selling

Example:

Retail shop buying products from wholesaler and selling to customer.

B) On the Basis of Physical Supply

1. Transportation
2. Warehousing
3. Storage

Example:
Amazon delivering product from warehouse to customer.

C) Facilitating Functions

These help marketing run smoothly.

1. Financing
 2. Risk Bearing
 3. Market Information
 4. Standardization and Grading
-

Trick to Remember:

B-S-T-F

Buying
Selling
Transport
Facilitating

Approaches to Study Marketing

1. Product Approach
2. Institutional Approach
3. Functional Approach
4. Managerial Approach
5. Social Approach

 Modern companies use Managerial Approach.

6 Relevance of Marketing in Developing Economy

Marketing helps:

- ✓ Increase production
 - ✓ Create employment
 - ✓ Reduce poverty
 - ✓ Improve GDP
 - ✓ Promote exports
-

7 Changing Profile of Marketing Manager

Earlier:

Production-focused

Now:

Customer-focused

Modern Marketing Manager must know:

- ✓ Digital marketing
 - ✓ Consumer psychology
 - ✓ Data analysis
 - ✓ CRM
-



Quick Revision Table

Topic	Key Point
Marketing	Customer Satisfaction + Profit
Objective	Increase Sales & Market Share
Functions	Exchange, Physical, Facilitating
Importance	Economic Development

10 MARKS QUESTIONS (DETAILED)

Q1. Define Marketing and Explain its Objectives.

Introduction:

Marketing is one of the most important business activities. It connects producers with customers and ensures satisfaction along with profit.

Definition:

According to Philip Kotler,
“Marketing is a social and managerial process by which individuals obtain what they need and want through creating and exchanging products and value with others.”

Explanation:

Marketing is not only selling. It includes identifying customer needs, designing products, pricing, promotion and distribution.

Objectives of Marketing:

1 Customer Satisfaction

The primary objective is to satisfy customer needs and wants.

2 Profit Maximization

Marketing aims to earn profit by satisfying customers better than competitors.

3 Increasing Sales Volume

Marketing helps in increasing demand and sales.

4 Market Share Growth

To capture larger portion of market.

5 Brand Building

Creating brand awareness and loyalty.

6 Long-term Relationship

Maintaining customer relationship for repeat purchases.

Example:

Amazon identifies customer needs, provides variety, fast delivery and earns profit.

Conclusion:

Thus, marketing focuses on customer satisfaction and long-term profitability.



Q2. Explain Functions of Marketing.

Introduction:

Marketing functions refer to activities involved in transferring goods from producer to consumer.

Classification of Marketing Functions:

1 Exchange Functions

These functions involve transfer of ownership.

- Buying
- Selling

Buying means purchasing raw materials.

Selling means transferring goods to customers.

2 Physical Supply Functions

These involve movement of goods.

- Transportation
- Warehousing
- Storage

Example: Flipkart delivers product from warehouse to customer.

3 Facilitating Functions

These support marketing activities.

- Financing
- Risk Bearing
- Market Information
- Standardization & Grading

Financing helps in providing credit facilities.

Risk bearing includes handling price fluctuations and damages.

Conclusion:

Marketing functions ensure smooth flow of goods and services from producer to consumer.

Q3. Explain Importance of Marketing in Modern Economy.

Introduction:

Marketing plays vital role in economic development.

Importance:

1. Creates Employment
2. Improves Standard of Living
3. Increases Production
4. Encourages Innovation
5. Supports Economic Growth
6. Promotes Exports

Example:

Digital marketing has created new job opportunities.

Conclusion:

Marketing is backbone of modern economy.

UNIT 2 – CLASSIFICATION AND TYPES OF MARKETS

1 Meaning of Market

Definition

A **Market** is a place or system where buyers and sellers meet to exchange goods and services.

 Important: Market does NOT mean only physical place. It can be online also (Amazon, Flipkart).



Simple Market Diagram

Buyer ← Goods/Services → Seller
Buyer → Money → Seller

Exchange happens here = Market

2 Classification of Markets

Markets can be classified on different bases.

● A) On the Basis of Area

1 Local Market

Limited to small area.
Example: Vegetable market.

2 Regional Market

Covers a state or region.
Example: Maharashtra dairy market.

3 National Market

Covers entire country.
Example: Reliance Jio.

4 International Market

Global market.
Example: Apple, Samsung.



Trick to Remember:

L R N I

(Local – Regional – National – International)

● B) On the Basis of Time

- 1 Very Short Period Market (Perishable goods)
- 2 Short Period Market
- 3 Long Period Market
- 4 Secular Period Market

Example: Vegetables = Very short period.

● C) On the Basis of Volume of Business

- 1 Wholesale Market
- 2 Retail Market

Wholesale → Bulk selling
Retail → Final consumer

● D) On the Basis of Competition

- 1 Perfect Competition
- 2 Monopoly
- 3 Monopolistic Competition
- 4 Oligopoly

Example:
Monopoly → Indian Railways
Oligopoly → Telecom Industry

3 Service Marketing

Meaning:

Marketing of intangible products like banking, insurance, education.

Features of Services (IMPORTANT)

1. Intangibility
2. Inseparability
3. Variability
4. Perishability

🧠 Trick: **I I V P**

7 P's of Service Marketing

1. Product
2. Price
3. Place
4. Promotion
5. People
6. Process
7. Physical Evidence

(4P + 3 extra P)

4 Rural Marketing

Meaning:

Marketing of goods and services in rural areas.

Features:

- Large population
- Low literacy
- Agriculture dependent

Difficulties:

- Poor infrastructure
- Transportation issues
- Low income

Suggestions:

- Use mobile vans
 - Affordable pricing
 - Local language promotion
-

5 Retail Marketing

Meaning:

Selling goods directly to final consumers.

Types of Retail Stores:

1. Departmental Store
2. Supermarket
3. Hypermarket
4. Convenience Store
5. Online Retail

Example: D-Mart, Reliance Smart

6 Telemarketing

Selling products through telephone.

Advantages:

- Cost effective
- Direct communication

Disadvantages:

- Irritation to customers
 - Low response rate
-

7 E-Marketing

Marketing using internet.

Includes:

- Social Media Marketing
 - Email Marketing
 - SEO
 - Online Ads
-

8 Digital Marketing

Use of digital channels to promote products.

Platforms:

- Instagram
 - YouTube
 - Google Ads
-

9 Green Marketing

Marketing eco-friendly products.

Example:

Paper bags instead of plastic.

MOST IMPORTANT 10 MARKS QUESTIONS – UNIT 2

Q1. Explain Classification of Markets.

Introduction:

Market can be classified on various bases such as area, time, competition and volume.

On the Basis of Area:

Local, Regional, National, International.

On the Basis of Time:

Very short, Short, Long, Secular period.

On the Basis of Competition:

Perfect competition, Monopoly, Oligopoly, Monopolistic competition.

On the Basis of Volume:

Wholesale and Retail.

Conclusion:

Thus, market classification helps understand structure and behavior of different markets.

Q2. Explain Service Marketing and its 7P's.

Introduction:

Service marketing refers to marketing of intangible services.

Features:

Intangibility, Inseparability, Variability, Perishability.

7P's:

Product, Price, Place, Promotion, People, Process, Physical Evidence.

Example:

Banking sector uses 7P's to attract customers.

Conclusion:

Service marketing requires different strategies than product marketing.

Q3. Explain Rural Marketing with difficulties and suggestions.

Introduction:

Rural marketing focuses on selling products in rural areas.

Features:

Large population, agriculture based economy.

Difficulties:

Poor roads, low literacy, low income.

Suggestions:

Affordable pricing, local promotion, mobile distribution.

Conclusion:

Rural market has high potential but needs special strategies.

HIGH PROBABILITY QUESTIONS

- 1 Classification of markets 5 Telemarketing advantages & disadvantages
- 4 Retail marketing 6 Green marketing
- 2 Service marketing & 7P's
- 3 Rural marketing

UNIT 3 – MARKETING ENVIRONMENT AND MARKET SEGMENTATION

PART 1: MARKETING ENVIRONMENT

1 Meaning of Marketing Environment

✓ Definition:

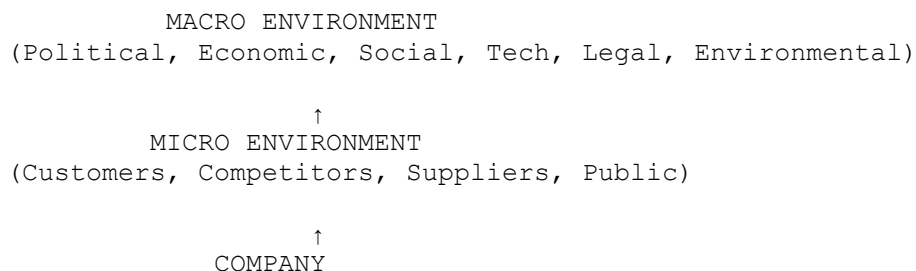
Marketing Environment refers to all internal and external factors that affect marketing decisions of a company.

👉 Simple Meaning:

Everything that influences business = Marketing Environment.



Diagram of Marketing Environment



2 Types of Marketing Environment

There are two types:

1 Micro Environment

2 Macro Environment

◆ A) MICRO ENVIRONMENT

These are close to company and directly affect it.

Elements of Micro Environment:

1. Company
 2. Suppliers
 3. Marketing Intermediaries
 4. Customers
 5. Competitors
 6. Public
-

Example:

If supplier increases raw material price → company cost increases.

◆ B) MACRO ENVIRONMENT

These are external forces affecting entire industry.

We remember it by:

🧠 Trick: **PESTLE**

P – Political
E – Economic
S – Social
T – Technological
L – Legal
E – Environmental

1 Political Environment

Government policies, tax rules, trade laws.

Example: GST affects pricing.

2 Economic Environment

Inflation, interest rate, GDP, income level.

Example: During recession, demand decreases.

3 Social Environment

Culture, beliefs, lifestyle.

Example: Increase in health awareness → organic food demand rises.

4 Technological Environment

Innovation, automation, AI.

Example: UPI changed payment system.

5 Legal Environment

Consumer protection laws, labor laws.

6 Environmental Factors

Climate change, sustainability.

Example: Green marketing.

PART 2: MARKET SEGMENTATION

Meaning of Market Segmentation

Definition:

Market Segmentation means dividing a large market into smaller groups of consumers with similar needs.

 Why?

Because one product cannot satisfy everyone.



Segmentation Process Diagram

Market → Divide → Target → Position

(STP Model)

Bases of Market Segmentation

Geographic Segmentation

Based on location.

Example: AC demand high in hot areas.

Demographic Segmentation

Based on age, income, gender, education.

Example: Baby products for infants.

◆ **3 Psychographic Segmentation**

Based on lifestyle, personality.

Example: Luxury cars for high-status consumers.

◆ **4 Behavioral Segmentation**

Based on usage, loyalty, benefits sought.

Example: Heavy users of Netflix.

🧠 Trick to Remember:

G D P B

Geographic
Demographic
Psychographic
Behavioral

5 Essentials of Effective Segmentation

For segmentation to be effective, it must be:

1. Measurable
2. Accessible
3. Substantial
4. Actionable

🧠 Trick: **MASA**

MOST IMPORTANT 10/15 MARKS QUESTIONS – UNIT 3

Q1. Explain Marketing Environment and its components.

Introduction:

Marketing environment includes all forces that affect company's ability to serve customers.

Types:

1. Micro Environment
 2. Macro Environment
-

Micro Environment:

- Company
- Suppliers
- Intermediaries
- Customers
- Competitors
- Public

These directly affect company decisions.

Macro Environment (PESTLE):

Political – Government policies

Economic – Inflation, GDP

Social – Culture, lifestyle

Technological – Innovation

Legal – Laws

Environmental – Climate concerns

Conclusion:

Marketing managers must constantly monitor environment to survive and grow.



Q2. Explain Market Segmentation and its bases.

Introduction:

Market segmentation divides a large market into smaller homogeneous groups.

Bases of Segmentation:

1. Geographic
 2. Demographic
 3. Psychographic
 4. Behavioral
-

Importance:

- Better customer satisfaction
 - Efficient marketing
 - Competitive advantage
-

Conclusion: Segmentation helps in targeting right customers with right strategy.



Q3. Explain STP Model in detail.

STP stands for:

1. Segmentation
 2. Targeting
 3. Positioning
-

1 Segmentation

Divide market into groups.

2 Targeting

Select most profitable segment.

3 Positioning

Create unique image in customer's mind.

Example:

Apple positions as premium brand.



HIGH PROBABILITY QUESTIONS

- 1 Marketing environment (very important)
- 2 PESTLE analysis
- 3 Market segmentation bases
- 4 STP model
- 5 Essentials of effective segmentation



UNIT 4 – MARKETING MIX (4P's)

This unit is **100% exam important**.
Almost every university asks questions from here.



1 Meaning of Marketing Mix



Definition:

Marketing Mix refers to a combination of marketing tools used by a company to achieve its marketing objectives in the target market.



Simple Meaning:
It is the strategy used to sell a product successfully.



Basic Diagram of Marketing Mix (4P's)

MARKETING MIX		

	Product	
	Price	
	Place	
	Promotion	



Trick to Remember: **4P**



2 Elements of Marketing Mix

1 PRODUCT

Meaning:

Product is anything offered to the market to satisfy needs and wants.

It can be:

- Goods
- Services
- Ideas

Example: Mobile phone, Insurance policy, Online course.

Levels of Product

1. Core Product (Basic benefit)
 2. Actual Product (Brand, Packaging, Quality)
 3. Augmented Product (After-sale service, Warranty)
-

Product Levels Diagram

```
Augmented Product
-----
Actual Product
-----
Core Product
```

Product Life Cycle (Very Important)

Stages:

1. Introduction
2. Growth
3. Maturity
4. Decline

 Trick: **I G M D**

2 PRICE

Meaning:

Price is the amount of money paid by customer to buy a product.

Pricing Methods:

1. Cost-based Pricing
 2. Demand-based Pricing
 3. Competition-based Pricing
-

Pricing Strategies:

- Skimming Pricing
- Penetration Pricing
- Discount Pricing
- Psychological Pricing

Example: ₹999 instead of ₹1000.

3 PLACE (Distribution)

Meaning:

Place refers to distribution channels used to make product available to customers.

Types of Distribution Channels:

1. Direct Channel (Producer → Consumer)
 2. Indirect Channel (Producer → Wholesaler → Retailer → Consumer)
-

Types of Distribution:

1. Intensive Distribution
2. Selective Distribution

3. Exclusive Distribution

4 PROMOTION

Meaning:

Promotion means communicating product information to customers.

Elements of Promotion Mix:

1. Advertising
 2. Sales Promotion
 3. Personal Selling
 4. Public Relations
 5. Direct Marketing
-

MOST IMPORTANT 10/15 MARKS QUESTIONS – UNIT 4

Q1. Explain Marketing Mix and its elements.

Introduction:

Marketing mix is a combination of product, price, place and promotion used to achieve marketing objectives.

1 Product:

Anything offered to satisfy customer needs. Includes product levels and product life cycle.

2 Price:

Amount paid by customer. Includes pricing methods and strategies.

3 Place:

Distribution channels used to deliver product.

4 Promotion:

Communication tools like advertising and personal selling.

Conclusion:

Proper combination of 4P's ensures success of business.

Q2. Explain Product Life Cycle with diagram.

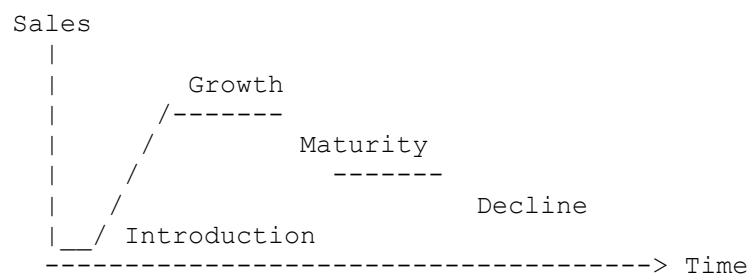
Introduction:

Product Life Cycle explains different stages through which a product passes in market.

Stages:

1. Introduction – Low sales, high cost
 2. Growth – Increasing sales
 3. Maturity – Stable sales, high competition
 4. Decline – Decreasing sales
-

Diagram:



Conclusion:

Companies must modify strategies at each stage.

Q3. Explain Pricing Strategies.

Introduction:

Pricing strategy helps company attract customers and earn profit.

Types:

- Skimming – High price initially
 - Penetration – Low price to enter market
 - Psychological pricing
 - Discount pricing
-

Conclusion:

Correct pricing strategy ensures competitiveness.



HIGH PROBABILITY QUESTIONS

- ☒ Marketing Mix (compulsory question)
- ☐ Product Life Cycle
- ☐ Pricing strategies
- ☐ Promotion mix
- ☐ Channels of distribution



UNIT 5 – CONSUMER BEHAVIOUR

This unit is very scoring because answers are theoretical + diagram based.

You must write it in structured format to get full marks.

1 Meaning of Consumer Behaviour

Definition:

Consumer Behaviour refers to the study of how individuals make decisions to spend their resources (money, time, effort) on consumption-related items.

 Simple Meaning:

It studies **why, what, when, where and how** consumers buy products.

2 Importance of Consumer Behaviour

1. Helps understand customer needs
 2. Helps in product planning
 3. Helps in pricing decisions
 4. Helps in advertising strategy
 5. Provides competitive advantage
-

3 Factors Influencing Consumer Behaviour

Very Important for Exam 

Diagram of Factors Influencing Consumer Behaviour

Cultural Factors
Social Factors
Personal Factors
Psychological Factors

1 Cultural Factors

- Culture
- Sub-culture
- Social class

Example: Vegetarian food preference in some cultures.

2 Social Factors

- Family
- Reference groups
- Roles and status

Example: Friends influence clothing brand choice.

3 Personal Factors

- Age
- Occupation
- Income
- Lifestyle

Example: Students prefer budget phones.

4 Psychological Factors

- Motivation
- Perception
- Learning
- Beliefs and attitudes

Example: Brand loyalty due to positive experience.

 Trick to Remember:

C S P P

Cultural
Social
Personal
Psychological

4 Consumer Buying Decision Process

This is MOST IMPORTANT 🔥 🔥 🔥



Buying Decision Process Diagram

1. Problem Recognition
 2. Information Search
 3. Evaluation of Alternatives
 4. Purchase Decision
 5. Post-Purchase Behaviour
-

Explanation:

① Problem Recognition

Consumer realizes a need.

Example: Mobile not working.

② Information Search

Consumer searches online or asks friends.

③ Evaluation of Alternatives

Compare brands.

④ Purchase Decision

Select best option.

5 Post-Purchase Behaviour

Satisfied or dissatisfied.

5 Types of Buying Behaviour

- ☐ Complex Buying Behaviour
 - ☐ Dissonance Reducing Behaviour
 - ☐ Habitual Buying Behaviour
 - ☐ Variety Seeking Behaviour
-

MOST IMPORTANT 10/15 MARKS QUESTIONS – UNIT 5

Q1. Explain factors influencing consumer behaviour.

Introduction:

Consumer behaviour is influenced by various internal and external factors.

Cultural Factors:

Culture, subculture and social class influence buying pattern.

Social Factors:

Family, friends and status influence decisions.

Personal Factors:

Age, occupation, income and lifestyle affect purchasing power.

Psychological Factors:

Motivation, perception and learning shape buying behaviour.

Conclusion:

Understanding these factors helps marketers design effective strategies.



Q2. Explain Consumer Buying Decision Process.

Introduction:

Consumer passes through five stages before purchasing a product.

1. Problem Recognition

2. Information Search
 3. Evaluation of Alternatives
 4. Purchase Decision
 5. Post-Purchase Behaviour
-

Conclusion:

Marketers must influence consumers at each stage.



Q3. Explain Types of Buying Behaviour.

Introduction:

Buying behaviour depends on involvement level and brand differences.

Types:

- Complex buying behaviour – High involvement
 - Dissonance reducing behaviour
 - Habitual behaviour
 - Variety seeking behaviour
-

Conclusion:

Different buying behaviours require different marketing strategies.



HIGH PROBABILITY QUESTIONS

- 1 Factors influencing consumer behaviour
- 2 Buying decision process (Very important)
- 3 Types of buying behaviour
- 4 Importance of consumer behaviour



UNIT 1 – UPDATED

1 Difference Between Selling and Marketing

Basis	Selling	Marketing
Focus	Product	Customer needs
Starting Point	Factory	Market
Objective	Increase sales volume	Customer satisfaction + profit
Approach	Short-term	Long-term
Orientation	Product-oriented	Customer-oriented
Strategy	Push strategy	Pull strategy

Conclusion:

Selling focuses on product, while marketing focuses on customer satisfaction.

2 Modern Concept of Marketing

Modern concept states that:

- Customer satisfaction is the primary goal
- Profit is achieved through satisfaction
- Long-term relationship is important
- Market research guides decisions
- Customer is treated as king

Earlier focus → Production

Now focus → Customer needs



UNIT 2 – UPDATED

3 Difference Between Traditional and Digital Marketing

Basis	Traditional Marketing	Digital Marketing
Medium	TV, Radio, Newspaper	Social media, Google, Email
Communication	One-way	Two-way
Cost	High	Cost-effective
Measurement	Difficult	Easy & measurable
Reach	Limited	Global

Conclusion:

Digital marketing is more interactive and measurable than traditional marketing.

4 Green Marketing – Importance

Green marketing means promoting eco-friendly products.

Importance:

- Protects environment
- Builds positive brand image
- Attracts environmentally conscious customers
- Ensures long-term sustainability
- Creates competitive advantage

Example: Paper bags instead of plastic.



UNIT 3 – UPDATED

5 Difference Between Micro and Macro Environment

Basis	Micro Environment	Macro Environment
Nature	Internal forces	External forces
Impact	Direct impact on company	Indirect impact
Control	Some control possible	No control
Scope	Limited	Broad
Examples	Customers, suppliers	Political, economic, social factors

6 Targeting Strategies

After segmentation, company selects target market.

Strategy	Meaning	Risk Level	Example
Undifferentiated	One product for entire market	Low	Basic salt
Differentiated	Different products for segments	Medium	Shampoo variants
Concentrated	Focus on single segment	High	Luxury watches



UNIT 4 – UPDATED

7 Factors Affecting Pricing Decisions

1. Cost of product
2. Demand level
3. Competition

4. Government policies
5. Economic condition
6. Company objectives
7. Consumer perception

Correct pricing ensures profit, survival and competitiveness.

8 Branding – Meaning and Importance

Meaning:

Brand is a name, symbol, design or combination that identifies a product and differentiates it from competitors.

Importance:

- Creates unique identity
 - Builds customer trust
 - Increases brand loyalty
 - Helps in premium pricing
 - Provides competitive advantage
-



UNIT 5 – UPDATED

9 Maslow's Hierarchy of Needs

Maslow classified human needs into five levels:

1. Physiological – Food, water
2. Safety – Security
3. Social – Love, belonging
4. Esteem – Respect, status
5. Self-actualization – Self-growth

Marketers design products according to these need levels.

10 Post Purchase Dissonance

Meaning:

After purchase, customer may feel doubt about decision.

Example:

“Did I buy the right mobile?”

Reasons:

- High price
- Many alternatives
- Influence of others

Ways to Reduce:

- After-sales service
- Warranty
- Follow-up communication
- Positive reviews